EXECUTIVE SUMMARY

A. Introduction

Tuguegarao City was originally created on May 1604 as a "mission pueblo". No record is available establishing the law creating the Municipality. However, Cagayan's first City was created by Republic Act No. 8755, "An act converting the Municipality of Tuguegarao, Cagayan Province into a component City to be known as Tuguegarao City." R.A. No. 8755 was approved on November 4, 1999 and ratified on December 18, 1999.

The audit covered the accounts and operations of the City Government of Tuguegarao for the year 2018 and was aimed at determining whether management presented fairly the financial statements of the City in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

The audit was focused on the different audit thrusts/areas issued by the Local Government Sector of the Commission.

B. Financial Highlights

The financial condition, results of operation, appropriations, allotments and obligations of the City Government of Tuguegarao for the year ended December 31, 2018, with comparative figures for CY 2017, are presented below:

	2018	2017	Increase / (Decrease)
Financial Condition			
Assets	P3,727,800,190.68	P 3,250,370,726.95	P 477,429,463.73
Liabilities	416,256,447.60	832,247,505.92	(415,991,058.32)
Net Assets/ Equity	3,311,543,743.08	2,418,123,221.03	893,420,522.05
Results of Operation			
Income	P 947,752,963.95	P 856,337,298.89	P 91,415,665.06
Expenses	758,260,201.89	595,244,315.90	163,015,885.99
Net Income	189,492,762.06	261,092,982.99	(71,600,220.93)
Appropriations, Allotments and Obligations			
Appropriations - Current	P 1,186,942,633.00	P 932,407,791.00	P254,534,842.00
Appropriation - Continuing	0.00	1,580,902.93	(1,580,902.93)
Allotments - Current	1,186,942,633.00	932,407,791.00	254,534,842.00
Allotments - Continuing	304,280,414.50	347,124,326.74	(42,843,912.24)
Obligations - Current	940,587,798.79	806,530,196.99	134,057,601.80
Obligations - Continuing	145,643,453.77	114,149,554.57	31,493,899.20

The funds received by the LGU and the funds transferred to other agencies and non-government and people's organization for CY 2018 with comparative figures for CY 2017 are shown below:

	2018	2017	Increase / (Decrease)
Funds Received from Other Agencies:			
Due to NGAs	P 124,223,758.55	P 2,173,953.33	P 122,049,805.22
Due to LGUs	0.00	15,249,951.12	(15,249,951.12)
Due to GOCCs	967,050.00	0.00	967,050.00
Funds Transferred to Other Agencies:			
Due from NGAs	P 0.00	P 1,348,077.62	(P 1,348,077.62)
Due from LGUs	1,472,750.00	12,240,721.26	(10,767,971.26)
Due from GOCCs	0.00	3,757,951.00	(3,757,951.00)
Due from NGOs/POs	19,040,000.00	0.00	19,040,000.00

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements as of December 31, 2018 of the Tuguegarao City, Cagayan due to the effects of the noted deficiencies on the balances of some accounts, as summarized in the succeeding paragraphs and as discussed in detail in part II of the Report.

D. Summary of Significant Findings and Recommendations

1. **Accounting and reporting guidelines on local roads asset management embodied in COA Circular No. 2015-008 were not strictly observed by concerned departments, thus the correctness of the balance of Road Networks account of ₱527,848,222.87 could not be ascertained. Further, this account was not correctly valuated in the financial statements as it was not provided with allowance for depreciation.**

   We recommended that the Local Chief Executive enjoin the concerned departments to strictly follow and implement the provisions contained in the abovementioned Circular to fairly present the book value of the Road Networks account in the Financial Statements of the City Government.

2. **The correctness, accuracy and existence of the recorded Property, Plant and Equipment accounts, with gross value of ₱2,376,112,055.48, could not be ascertained due to Management's failure to conduct complete physical inventory, which is not in accord with Section 124 of Volume I of the Manual on New Government Accounting System for Local Government Units.**

We recommended that the Local Chief Executive require the Inventory Committee to conduct physical inventory of all the PPE of the LGU and thereafter, prepare an inventory report, i.e. the RPCPPE, a copy of which should be submitted to the Office of the Auditor. The inventory report shall be reconciled with the PPE records or ledgers maintained at the Accounting Office and any discrepancy/ies should be adjusted.

3. **The Receivables-Disallowances/Charges account, with a balance of P761,238.26, does not reflect the correct amount of disallowances that are final and executory. Moreover, aside from the disallowances under appeal of P13,358,351.46, audit disallowances of P1,909,068.26 remained unsettled.**

   We recommended that the Head of the Agency, who is primarily responsible for all government funds and property, ensure that the settlement of disallowances be made within the prescribed period.

   Further, the City Accountant should record all disallowances which have become final and executory amounting to P1,137,402.00 upon receipt of the Notices of Finality of Decision issued by the Auditor. She should also make the necessary adjustments for noted errors in their records to establish the correct balance of the affected accounts Receivables-Disallowances and Charges and Government Equity.

   The submission of the disbursement vouchers showing the deduction of disallowances from the terminal leave benefits and the official receipts evidencing the settlements amounting to P231,141.14 is requested.

4. **Several infrastructure projects programmed and funded out of the 20% Development Fund, Special Education Fund, Capital Outlay and Supplemental Budgets were not yet completed on target dates, thus depriving students/pupils of the timely use of the school buildings.**

   We recommended that Management fast track the implementation of all its programmed projects included in the Annual Investment Plan of the City in order for its constituents, especially the students/pupils, to enjoy the benefits to be derived therefrom.

5. **The City granted honorarium to the BAC Members, BAC-Technical Working Group and BAC Secretariat in excess of collections from the sale of bid documents, in contravention with Item 3.5 of the DBM Budget Circular No. 2007-003. Hence, the City incurred an excessive expense amounting P216,500.00.00.**

   Moreover, several members of the Bids and Awards Committee, BAC-TWG and BAC Secretariat received honorarium in excess of 25% of their basic monthly salary, amounting to P287,953.50, which is not in accord with

Section 15 of the Revised Implementing Rules and Regulations of RA 9184 and Item 5.4 of DBM Budget Circular No. 2004-5A.

Furthermore, some BAC Secretariat, who are assigned in the procuring unit of the City General Services Office, were granted honoraria, which is not in accord with Item 5.6 of the same Budget Circular.

We recommended that Management grant honoraria to the BAC Members, BAC-TWG and BAC Secretariat within the 25% limitation set forth under Section 15 of the Revised IRR and Item 5.4 of DBM Budget Circular No. 2004-5A. Moreover, in cases of deficiency of collections from procurement activities and availability of agency savings, the amount of honoraria and overtime pay, if any, shall be adjusted proportionately for all those entitled thereto, pursuant to Item 3.5 of DBM Budget Circular No. 2007-3.

Finally, it was recommended that the personnel of the BAC Secretariat who are assigned in the procuring unit of the CGSO shall, henceforth, not be granted with honoraria.

6. **The Municipality did not fully maximize the use of the available appropriations for the 70% Mitigation Fund of the Local Disaster Risk Reduction and Management Fund (LDRRMF) totaling ₱117,870,989.73, with only ₱79,986,947.97 or 67.86% total utilization as of December 31, 2018, thereby, leaving a total unutilized balance of ₱38,800,402.65, contrary to Republic Act No. 10121, hence, the fund remained idle and the intended purpose was not fully achieved. Moreover, the Municipal Disaster Risk Reduction and Management Officer was not able to submit the Monthly Report on the Utilization of the LDRRMF to COA Auditor as required under Item 5.1.5 of COA Circular No. 2012-002.**

   We recommended that the Municipal DRRM Officer and other concerned implementing offices: (a) fully utilize the fund and implement all budgeted projects, programs and activities; (b) submit monthly to the Audit Team the Report on the Sources and Utilization of the Funds, certified by the Municipal Accountant, for proper and timely evaluation; and (c) include in the LDRRMFIP the activities to be funded from the unexpended QRF and DRRMF-MOOE of the previous years, which were transferred to the Special Trust Fund.

7. **Some motor vehicles of the LGU were not marked "For Official Use Only" while some do not yet bear government plate, hence defeating the purpose as set forth under COA Circular No. 77-61, on the control and proper use of Government service vehicles.**

   We recommended that the Local Chief Executive require the head GSO to mark "For Official Use Only" and to acquire government plates for all of the motor vehicles of the LGU in compliance with the provisions of COA Circular No. 77-61, to ensure the effective conservation of energy and proper utilization of government motor transportation.

8. **The completed sanitary landfill (SLF) cell as provided in the Updated 10-Year Ecological Solid Waste Management Plan, is not yet operational, thus it has become a waste of resources.**

   We recommended that the City Government use and operate the landfill cell to comply with the requirement of Republic Act No. 9003, otherwise known as Ecological Solid Waste Management Act of 2000.

9. **The City Government could have generated more revenues for its sustainable development had the Tuguegarao City Commercial Center (Mall of the Valley) building been completed and leased out on commercial basis.**

   We recommended that Management exert its best effort in searching for a Private Sector Proponent that will finish the construction and will conduct maintenance of the Tuguegarao City Commercial Center because chances of finding one is diminishing as time passes by due to tight competition with large private malls operating and for other mall who will be operating in the future. The completion of the third and fourth levels of the commercial center, leasing it out on commercial basis and conducting maintenance and beautification will not only protect the interest of the City but will ultimately benefit its constituents in terms of better services.

E. Summary of Total Suspensions, Disallowances and Charges as of Year-End

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	P 264,789.14	P 0.00	P 0.00	P 264,789.14	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	P 264,789.14	P 0.00	P 0.00	P 264,789.14	0.00%
Disallowances					
Prior Years	P 15,690,460.86	P 0.00	P 191,900.00	P15,498,560.86	1.22%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	P 15,690,460.86	P 0.00	P 191,900.00	P15,498,560.86	1.22%
Charges					
Prior Years	P 0.00	P 0.00	P 0.00	P 0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	P 0.00	P 0.00	P 0.00	P 0.00	0.00%

Disallowances totaling ₱13,358,351.36 is on appeal.

F. Status of Implementation of Prior Year's Audit Recommendations

Of the thirty-two (32) audit recommendations embodied in the 2017 Annual Audit Report, sixteen (16) were fully implemented, eleven (11) were partially implemented and five (5) were not implemented.